



Time: 5 minutes

Outcome: Identify money's functions, forms, and M1/M2 measurement.

Difficulty: Intermediate

## Money Functions and Measures

### THE CORE IDEA

Money serves as a medium of exchange, a unit of account, and a store of value. As a medium of exchange it facilitates purchases; as a unit of account it provides a common way to quote prices and debts; as a store of value it carries purchasing power into the future. Money-supply measures group liquid assets by how readily they can perform these functions.

### HOW TO RECOGNIZE IT

- A medium of exchange is used to buy and sell goods and services.
- A unit of account provides the common measure in which prices and debts are stated.
- A store of value transfers purchasing power from the present into the future.
- For a money-supply measure, classify an asset by its liquidity and the measure's stated definition.

### WATCH OUT

A transfer from a checking deposit to a retail money-market fund lowers M1 but leaves M2 unchanged. Checking and savings deposits are included in both under the stated post-2020 definition; retail money-market funds are only in M2.

### WORKED EXAMPLE: CLASSIFYING MONEY-SUPPLY MEASURES

#### U.S. definition used since May 2020

|                                  | Amount   | In M1? | In M2? |
|----------------------------------|----------|--------|--------|
| <b>Currency</b>                  | \$800    | Yes    | Yes    |
| <b>Checking deposits</b>         | \$1,200  | Yes    | Yes    |
| <b>Savings deposits</b>          | \$1,500  | Yes    | Yes    |
| <b>Retail money-market funds</b> | \$0 here | No     | Yes    |

Currency is \$800, checking deposits are \$1,200, and savings deposits are \$1,500. Under the U.S. definition used since May 2020, savings deposits are included in M1, so  $M1 = \$3,500$ . With no other M2 components, M2 is also \$3,500. Under the older textbook definition excluding savings from M1, M1 would be \$2,000.

### CHECK YOURSELF

Are retail money-market mutual funds included in M1, M2, or both?